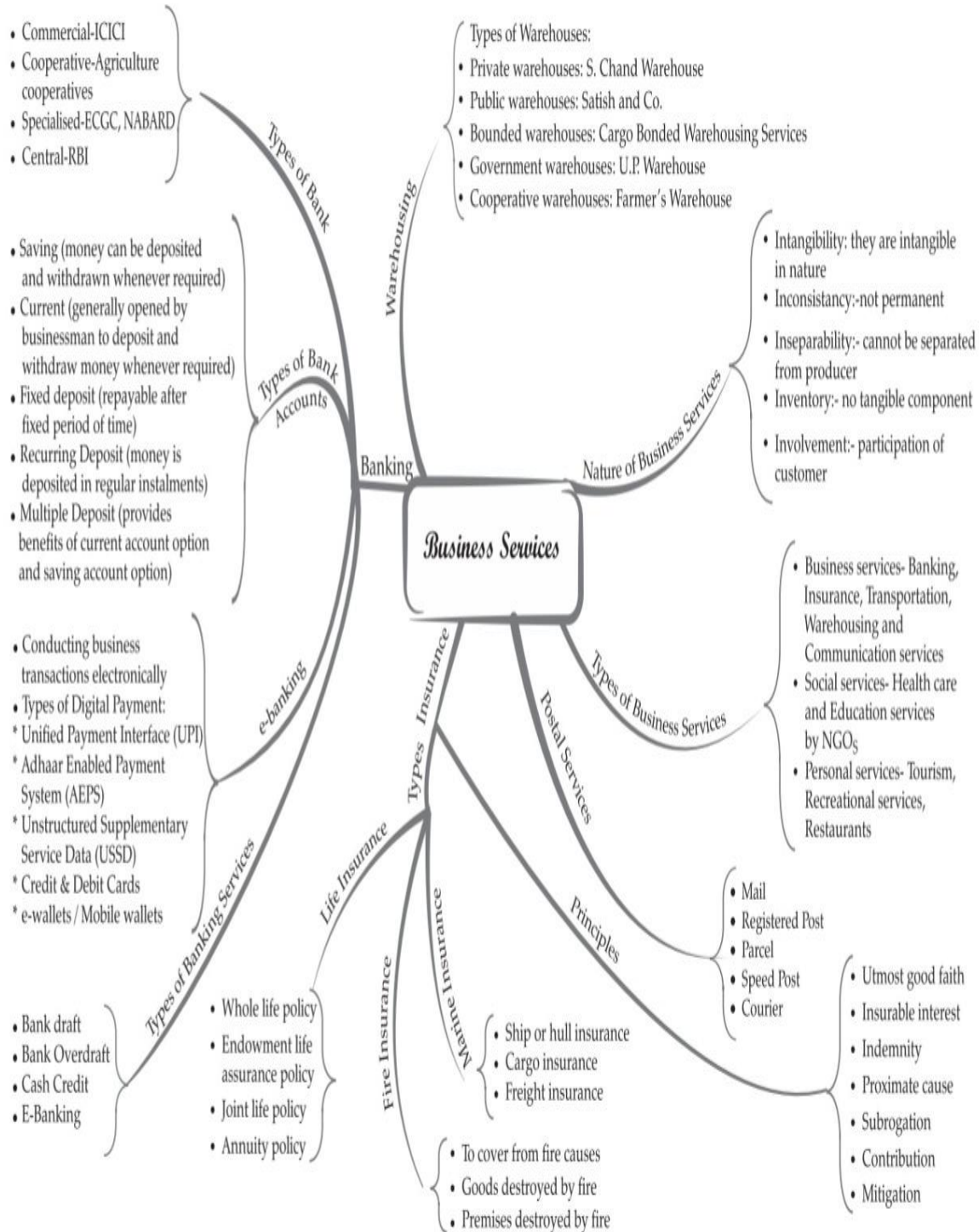


CH - 04: BUSINESS SERVICES

(MIND MAP)



LEARNING OBJECTIVE:

- *Meaning & Types of Business Services.*
- *Meaning & Types of Banking Services.*
- *Types of Bank Accounts.*
- *Meaning of e-banking & types of digital payments.*
- *Concept, types & principles of Insurance.*
- *Meaning of different Postal Services.*
- *Utility of different Telecom Services.*

Goods:-

A good is a tangible item that can be supplied to a buyer and entails the transfer of ownership from the seller to the buyer.

Services:-

Services are discreetly recognisable, basically intangible actions that satisfy demands but are not always tied to the selling of a product or another service. For example, banking services, tele-communication services etc.

Characteristics/ Nature/ Features of Services:-

1. Intangible:-

They cannot be touched. They are experiential in nature. Often, the quality of the item cannot be evaluated before consumption. Service providers should strive consciously to create a desired service in order for the consumer to have a positive experience.

2. Lack of Homogeneity or Inconsistency:-

There is no such thing as a typical tangible product, hence services must be performed uniquely each time. Customers have varying requirements and expectations in terms of services they require. Service providers must be able to adjust their offerings to better match the needs of their clients.

3. Non-transferability or Inseparability:-

Simultaneous activity of production and consumption makes the production and consumption of services seem to be inseparable. Services must be utilized in the order in which they are created. Service providers may use appropriate technology to create a substitute for the person, but client interaction remains a fundamental aspect of services.

4. Inventory:-

It is not possible to save services for later use. That is, services are perishable, and suppliers may only hold a limited amount of connected commodities, not the service itself. This means that demand and supply must be regulated because the service must be provided when the client requests it.

5. Customers participation or Involvement:-

A service characteristic is the customer's involvement in the service delivery process. Customers have the option of having services customised to meet their individual needs.

Difference between Services and Goods

Basis	Services	Goods
1.Nature	An activity or process. e.g., watching a movie in a cinema hall	A physical object. e.g., video cassette of movie
2. Type	Heterogeneous	Homogenous
3. Intangibility	Intangible e.g., doctor treatment	Tangible e.g., medicine
4.Inconsistency	Different customers having different demands e.g., mobile services	Different customers getting standardised demands fulfilled. e.g., mobile phones
5.Inseparability	Simultaneous production & consumption. e.g., eating ice-cream in a restaurant	Separation of production & consumption. e.g., purchasing ice cream from a store
6. Inventory	Cannot be kept in stock. e.g., experience of a train journey	Can be kept in stock. e.g., train journey ticket
7. Involvement	Participation of customers at the time of service delivery. e.g., self-service in a fast food joint	Involvement at the time of delivery not possible. e.g., manufacturing a vehicle

Type of Services:

- 1. Social Services:** Provided voluntarily to achieve certain goals e.g. healthcare and education services provided by NGOs.
- 2. Personal Services:** Services which are experienced differently by different customers. e.g. tourism, restaurants etc.
- 3. Business Services:** Services used by business enterprises to conduct their activities smoothly. e.g - Banking, Insurance, communication, Warehousing and transportation.

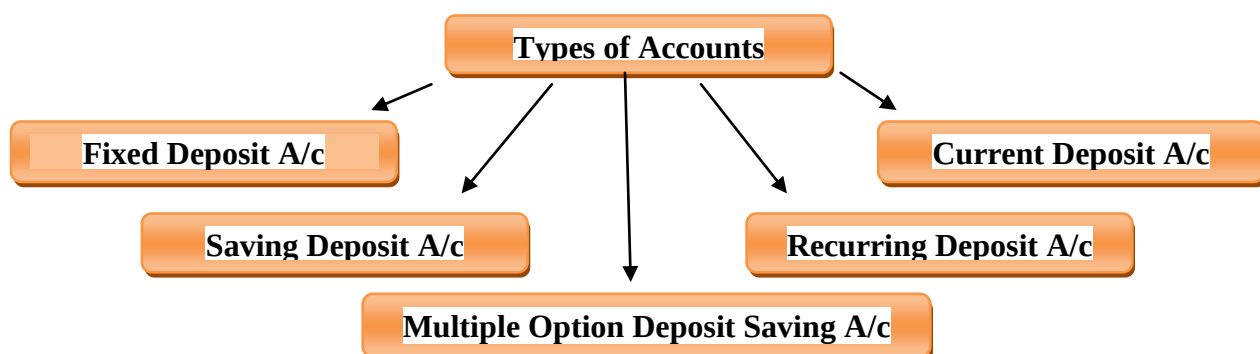
Various categories of Business Services:-

- A. Banking**
- B. Insurance**
- C. Postal and Telecom Services**
- D. Warehousing**
- E. Transportation.**

A. Banking:-

Meaning of Bank:

A bank is an institution which deals in money & credit. It collects deposits from the public & supplies credit, thereby facilitating exchange. It also performs many other functions like credit creation, agency functions, general services etc. Hence, a bank is an organization which accepts deposits, lends money & performs other agency functions.



Types of Accounts:

1. Fixed Deposit Account: Money is deposited in the account for a fixed period is called as Fixed Deposit account. After expiry of specified period, person can claim his money from the bank. Usually the rate of interest is maximum in this account. The longer the period of deposit, the higher will be the rate of interest on deposit.

2. Current Deposit Account: Current deposit Accounts are opened by businessman. The account holder can deposit and Withdraw money. Whenever desired. As the deposit is repayable on demand, it is also known as demand deposit. Withdrawals are always made by cheque. No interest is paid on current accounts. Rather charges are taken by bank for services rendered by it.

3. Saving Deposit Account: The aim of a saving account is to mobilize savings of the public. A person can open this account by depositing a small sum of money. He can withdraw money from his account and make additional deposits at will. Account holder also gets interest on his deposit. In this account though the rate of interest is lower than the rate of interest on fixed deposit account.

4. Recurring Deposit Account: The aim of recurring deposit is to encourage regular savings by the people. A depositor can deposit a fixed amount, say ₹ 100 every month for a fixed period. The amount together with interest is repaid on maturity. The interest rate on this account is higher than that on saving deposits.

5. Multiple Option Deposit Account: It is a type of saving Bank A/c in which deposit in excess of a particular limit get automatically transferred into fixed Deposit. On the other hand, incase adequate fund is not available in our saving Bank Account so, as to honour a cheque that we have issued the required amount gets automatically transferred from fixed deposit to the saving bank account. Therefore, the account holder has twin benefits from this amount.

- (i) S/he can earn more interest and
- (ii) It lowers the risk of dishonoring a cheque.

Types of Banks

Basis	Commercial Bank	Co-operative Banks	Specialised Banks	Central Bank
1. Meaning	They are governed by Indian Banking Regulation Act 1949 & according to it banking means accepting deposits of money from the public for the purpose of lending or investment.	Cooperative banks are Governed by provisions of state Cooperative societies act.	These banks are foreign exchange banks, industrial banks, development banks and export-import banks that cater to the unique demands of these operations.	The central bank of any country supervises, controls & regulates the activities of all the commercial banks of the country.
2. Purpose	Accepting deposits of money from the public for the purpose of lending or investment.	It is meant essentially for providing cheap credit to their members.	These banks are foreign exchange banks, industrial banks, development banks and export-import banks that cater to the unique demands	The Central bank of any country supervises, controls & regulates the activities of all the commercial banks of the country. Any country's

			of these operations.	currency & credit policies are controlled and coordinated by it.
3. Examples	There are two types of bank. Public Banks: In which the govt. has a major number of public sector banks like SBI, PNB, IOB etc. Private Banks are HDFC, ICICI, AXIS etc.	a) Saraswat Cooperative Bank b) Cosmos Cooperative Bank	EXIM Bank, SIDBI, NABARD	RBI

Functions of Commercial Banks:

1. Acceptance of deposits:

- Because banks are both borrowers and lenders of money, deposits are the foundation of loan operations. They pay interest as borrowers, and they receive interest as lenders.
- Deposits are generally taken through a current account, saving account and fixed deposit. Deposits in a current account can be withdrawn to the extent of the balance at any time and without any specific, timely warning.
- Fixed accounts are time deposits that pay a greater interest rate than savings accounts. A premature withdrawal is allowed, but the percentage of interest earned will be lost.

2. Cheque facility:

The cheque is the most advanced credit instrument, as well as a distinctive feature and function of banks for deposit withdrawal. It is the most practical and cost-effective mode of exchange.

There are two types of cheques:

- Bearer cheques, which can be cashed at a bank, counter right away.
- Crossed checks; that should only be placed in the payee's account.

3. Lending of funds:

From the money obtained through deposits, banks provide loans and advances. The advances can be made in the form of overdraft and cash credit discount rate bills, common term loans, consumer credit and other miscellaneous advances.

4. Remittances of funds:

Because of the interconnection of branches, it is possible to move funds from one location to another. Bank drafts, pay orders on mail transfer, and minimal commission charges are all used to transmit monies.

5. Allied services:

Bill payments, locker facilities, underwriting services come under this. Other services they provide include purchasing and selling shares and debentures on behalf of clients, as well as other personal services.

6. E-banking: Use of computers & internet in the functioning of the banks is called electronic banking. Because of these services the customers don't need to go to the bank every time for every transaction. He can make transactions with the bank at any time and from any place.

The chief electronic services are the following:

- (a) Electronic. Fund Transfer:** Under it, a bank transfers wages and salaries directly from the company's account to the accounts of employees of the company. The other examples of EFTs are online payment of electricity bill, water bill, insurance premium, house tax etc.
- (b) Automatic Teller Machines: (ATMs)** ATM is an automatic machine with the help of which money can be withdrawn or deposited by inserting the card and entering personal Identity Number (PIN). This machine operates for all the 24 hours.
- (c) Debit Card:** A Debit Card is issued to customers in lieu of his money deposited in the bank. The customers can make immediate payment of goods purchased or services obtained on the basis of his debit card provided the terminal facility is available with the seller.
- (d) Credit Card:** A bank issues a credit card to those of its customers who enjoy good reputation. This is a sort of overdraft facility. With the help of this card, the holder can buy goods or obtain services up to a certain amount even without having sufficient deposit in their bank accounts.
- (e) Tele Banking:** Under this facility, a customer can get information about the account balance or any other information about the latest transactions on the telephone.
- (f) Core Banking Solution Centralized Banking Solution:** In this system customer by opening a bank account in one branch (which has CBS facility) can operate the same account in all CBS branches of the same bank anywhere across the country. It is immaterial with which branch of the bank the customer deals with when he/she is a CBS branch customer.
- (g) National Electronic Fund Transfer:** NEFT refers to a nationwide system that facilitate individuals, firms & companies to electronically transfer funds from any branch to any individual, firm or company having an account with any other bank branch in the country. NEFT settles transactions in batches. The settlement takes place at a particular point of time.
For example, NEFT settlement takes place 6 times a day during the week days (9.30 am, 10.30 am, 12.00 noon, 1.00 pm; 3.00 pm & 4.00pm) & 3 times during Saturday 9.30 am, 10.30 am and 12.00 noon) Any transaction initiated after a designated settlement time is settled on the next fixed settlement time.
- (f) Real Time Gross Settlement:** RTGS refers to a funds transfer system where transfer of funds takes place from one bank to another on a Real-time and on Gross basis. Settlement in Real time means transactions are settled as soon as they are processed & are not subject to any waiting period. Gross settlement means the transaction is settled on one to one basis without bunching or netting with any other transaction. This is the fastest possible money transfer system through the banking channel. The RTGS service for customers is available from 9.00 am to 3.00 pm on weekdays and from 9.00 am to 12.00 noon on Saturdays. The basic difference between RTGS & NEFT is that while RTGS transactions are processed continuously, NEFT settles transactions in batches.

E- Banking:

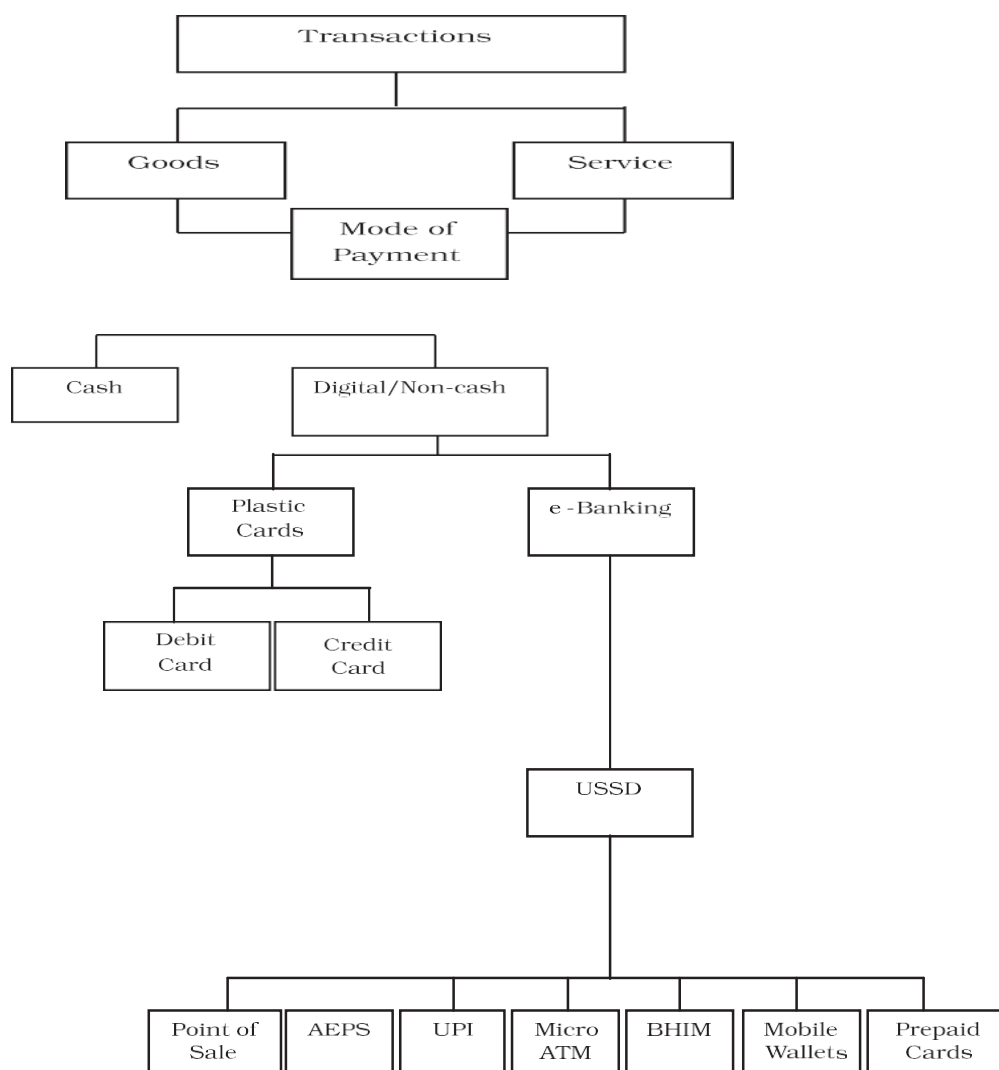
Internet banking means any user with a PC and a browser can get connected to the bank's website to perform any of the virtual banking functions and avail of any of the bank's services. There is no human operator to respond to the needs of the customer. The bank has a centralised data base that is web-enabled. All the services that the bank has permitted on the internet are displayed on a menu. Any service can be selected and further interaction is dictated by the nature of service.

Benefits of E-Banking to Customer:

1. E-Banking provides 24 hours a day x 365 days a year services to the customers.
2. Customers can make transactions from office or house or while traveling via mobile telephone.
3. There is greater customer satisfaction through e-banking as it offers unlimited access and great security as they can avoid travelling with cash.

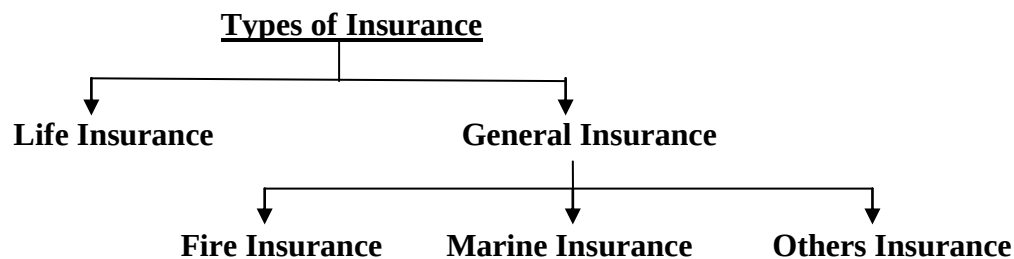
Benefits of E-Banking to Banks:

1. E-Banking lowers the transaction cost.
2. Load on branches can be reduced by establishing centralized data base.
3. E-Banking provides competitive advantage to the bank, adds value to the banking relationship.



B. Insurance:-

- It is a contract or agreement in which one party (the insured) agrees to pay another party (the insurer) an agreed sum of money (premium) when something of worth in which the insured has a pecuniary stake is lost, damaged, or injured. And, in exchange for the premium paid by the insured, the insurer/insurance company agrees to assume the risk of the unforeseen catastrophe and compensate the insured up to the agreed-upon amount.
- There are two major types of insurance:
 - Life Insurance
 - General Insurance.



- General insurance further includes:
 - Fire Insurance.
 - Marine insurance
 - Other Insurances
 - Health Insurance.
 - Burglary Insurance.
 - Cattle Insurance.
 - Crop Insurance.
 - Vehicle Insurance etc.

Basic Terminology:

- a. Insured:** Insured is the one who takes up the insurance policy, and is exposed to a certain risk.
- b. Insurer:** Insurer is the one who agrees to take the responsibility of the risk the insured is exposed to.
- c. Premium:** It is a fee that the insured has to pay the insurer in return for the risk taken up by the insurer on behalf of the insured.
- d. Insurance Policy:** It is a policy or document that specifies the terms & conditions related to the insurance contract.
- e. Sum assured:** It is the amount for which the insurance policy is taken.

Features of Insurance:

- Insurance is the exchange of a little monthly payment (premium) for the risk of a significant potential loss.
- The risk of loss still exists, but it is dispersed over a vast number of policyholders exposed to the same risk.
- The premium paid by them is pooled out of which the loss sustained by any policy holder is compensated.

- Risk is transferred from one party (Insured) to another party (Insurer).
- Insurance can be done for any type of risk, fire, theft, third party etc.
- Two parties are required namely the insured & the insurer for the insurance contract to take place.

Functions of Insurance:

1. Certainty:

- Insurance tends to reduce the level of risks, and the insured receives the payment for loss.
- The insurer charges for providing the certainty, in terms of premium.

2. Protection:

- Protection from probable chances of loss, such as loss due to fire, theft etc.
- Insurance cannot prevent a risk or event from occurring, but it can compensate for losses incurred as a result of it.

3. Risk sharing:

- All those who have been affected by the loss, share it.
- Every insured member pays a premium to acquire their share.

4. Capital formation:

- The assets accumulated by insurers as a result of premium payments made by the insured are invested in a variety of income-generating schemes.

Principle of Insurances:

1. Utmost Good Faith: Insurance contracts are based upon mutual trust and confidence between the insurer and the insured. It is a condition of every insurance contract that both the parties i.e. insurer and the insured must disclose every material fact and information related to insurance contract to each other.

2. Insurable Interest: It means some pecuniary interest in the subject matter of insurance contract. The insured must have insurable interest in the subject matter of insurance i.e., life or property insured. The insured will have to incur loss due to this damage and insured will be benefitted if full security is being provided. A businessman has insurable interest in his house, stock, his own life and that of his wife, children etc.

3. Indemnity: Principle of indemnity applies to all contracts except the contract of life insurance because estimation regarding loss of life cannot be made. The objective of contract of insurance is to compensate to the insured for the actual loss he has incurred. These contracts 'provide security from loss and no profit can be made out of these contracts.

4. Proximate Cause: The insurance company will compensate for the loss incurred by the insured due to reasons mentioned in insurance policy. But if losses are incurred due to reasons not mentioned in insurance policy than principle of proximate cause or the nearest cause is followed.

5. Subrogation: This principle applies to all insurance contracts which are contracts of indemnity. As per this principle, when any insurance company compensates the insured for loss of any of his property, then all rights related to that property automatically gets transferred to insurance company.

6. Contribution: According to this principle if a person has taken more than one insurance policy for the same risk then all the insurers will contribute the amount of loss in proportion to the amount assured by each of them and compensate for the actual amount of loss because he has no right to recover more than the full amount of his actual loss.

- For example, an insured has taken an insurance policy from three insurers of ₹ 50,000 each on the same subject matter, and the loss due to fire is only ₹ 75,000. So, in this case the insured will not get ₹50,000 from each insurer, instead he will be paid proportionately by all the insurers, in the ratio of sum assured, such as 1:1:1, that is ₹ 25,000 from each insurer, or any other method but the amount would not exceed ₹ 75,000.

7. Mitigation: According to this principle the insured must take reasonable steps to minimize the loss or damage to the insured property otherwise the claim from the insurance company may be lost.

Types of Insurance:

1. Life insurance:

- Life insurance is a contract in which the insurer agrees to pay the assured, or the person for whose benefit the policy is taken, the assured sum of money on the occurrence of a specified event contingent on human life or at the expiration of a specified period, in exchange for a certain premium, either in a lump sum or by other periodical payments.
- The policy is the written version of the agreement or contract that contains all of the terms and conditions.
- The insured is the one whose life is protected.
- The insurance company is the insurer and the consideration paid by the insured is the premium.
- The premium can be paid in installments over time.

2. Fire insurance:

- In exchange for the premium paid, the insurer guarantees to make good any loss or damage caused by fire over a specified period of time, up to the amount specified in the policy.
- The fire insurance policy is usually for a year and must be renewed on a regular basis.
- A claim for fire damage must meet the following two requirements:
 - There must be a monetary loss.
 - Fire must be unintended and accidental.

3. Marine Insurance: A marine insurance contract is an arrangement in which the insurer agrees to indemnify the insured against maritime losses in the way and to the extent agreed upon.

- Marine insurance protects against losses caused by marine perils, often known as sea perils. There are three factors to consider:
 - **Hull Insurance:** Because the ship is exposed to several dangers at sea, this insurance policy is designed to compensate the insured for losses incurred as a result of ship damage.
 - **Cargo insurance:** Cargo or the goods in the ship is exposed to numerous dangers while being transported by ship, this insurance covers the risk of voyage.
 - **Freight insurance:** If the cargo is damaged or lost in transit, the shipping business is not reimbursed for the freight payments; hence to avoid this scenario, the shipping company takes up this insurance policy.

Difference between Life Insurance, Fire Insurance & Marine Insurance

Basis	Life Insurance	Fire Insurance	Marine Insurance
1. Subject Matter	The subject matter of insurance is human life.	The subject matter is any physical property or assets.	The subject matter is a ship, cargo or freight.
2. Element	Life Insurance has the elements of protection & investment or both.	Fire insurance has only the element of protection & not the element of investment.	Marine insurance has only the element of protection.
3. Insurable interest	Insurable interest must be present at the time of effecting the policy but need not be necessary at the time when the claim falls due.	Insurable interest on the subject matter must be present both at the time of effecting policy as well as when the claim falls due.	Insurable interest must be present at the time when claim falls due or at the time of loss only.
4. Duration	Life insurance policy usually exceeds a year and is taken for longer periods ranging from 5 to 30 years or whole life.	Fire insurance policy usually does not exceed a year.	Marine insurance policy is for one or period of voyage or mixed.
5. Indemnity	Life insurance is not based on the principle of indemnity. The sum assured is paid either on the happening of certain event or on maturity of the policy.	Fire insurance is a contract of indemnity. The insured can claim only the actual amount of loss from the insurer. The loss due to the fire is indemnified subject to the maximum limit of the policy amount.	Marine insurance is a contract of indemnity. The insured can claim the market value of the ship & cost of goods destroyed at sea & the loss will be indemnified.
6. Loss measurement	Loss is not measurable.	Loss is measurable.	Loss is measurable.
7. Surrender value or paid up value	Life insurance policy has a surrender value or paid up value.	Fire insurance does not have any surrender value or paid up value.	Marine insurance does not have any surrender value or paid up value.
8. Policy amount	One can insure for any amount in life insurance.	In fire insurance, the amount of the policy cannot be more than the value of the subject matter.	In marine insurance the amount of the policy can be the market value of the ship or cargo.
9. Contingency of risk	There is an element of certainty. The event i.e., death of maturity or policy is bound to happen. Therefore a claim will be present.	The event i.e., destruction by fire may not happen. There is an element of uncertainty & there may be no claim.	The event i.e., loss at sea may not occur & there may be no claim. There is an element of uncertainty.

Communication Services:

- Business does not operate in a vacuum; it must communicate with others in order to exchange ideas and information.
- To be effective, communication services must be efficient, accurate, and quick. In today's fast-paced and competitive world, advanced technology is critical for speedy decision-making.

- For example,
 - Postal Services
 - Telecommunication Services.

I. Postal Services:-

This service is required by every business to send and receive letters, market reports, parcel, money order etc. on regular. All these services are provided by the post and telegraph offices scattered throughout the country. The postal department performs the following services.

(i) Financial Services:

They provide postal banking facilities to the general public and mobilize their savings through the following saving schemes like public provident fund (PPF), KisanVikasPatra, National Saving Certificate, Recurring Deposit Scheme and Money Order facility.

(ii) Mail Services: The mail services offered by post offices includes transmission of messages through post cards, Inland letters, envelops etc. The various mail services all:

(a) UPC (under postal certificate): When ordinary letters are posted the post office does not issue any receipt. However, if sender wants to have proof then a certificate can be obtained from the post office on payment of prescribed fee. This paper now serves as a evidence of posting the letters.

(b) Registered Post: Sometimes we want to ensure that our mail is definitely delivered to the addressee otherwise it should come back to us. In such situations the post office offers registered post facility which serves as a proof that mail has been posed.

(c) Parcel: Transmission of articles from one place to another in the form of parcels is known as parcel post. Postal charges vary according to the weight of the parcels.

Allied Postal Services:-

(a) Greetings Post: Greetings can be sent through post offices to people at different places.

(b) Media Post: Cooperates can advertise their brands through post cards, envelops etc.

(c) Speed Post: It allows speedy transmission of articles (within 24 hours) to people in specified cities.

(d) e-bill post: The post offices collect payment of bills on behalf of BSNL and other organizations.

(e) Courier Services: Letters, documents, parcels etc. can be sent through the courier service. It being a private service the employees work with more responsibility.

II. Telecommunication Services:-

Today's global business world, the dream of doing business across the world, will remain a dream only in the absence of telecom services. The various types of telecom services are:-

(a) Cellular mobile services: cordless mobile communication device including voice and non-voice messages, data services and PCO services.

(b) Radio Paging Services means of transmitting information to persons even when they are mobile.

(c) **Fixed Line Services** includes voice and non-voice messages and data services to establish linkage for long distance traffic.

(d) **Cable services** Linkages and switched services within a licensed area of operation to operate media services which are essentially one way entertainment related services.

(e) **VSAT Service** (Very small Aperture Terminal) is a Satellite based communication service. It offers government and business agencies a highly flexible and reliable communication solution in both urban and rural areas.

(f) **DTH Services** (Direct to Home) a Satellite based media services provided by cellular companies with the help of small dish antenna and a setup box.

USEFUL LINKS:

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https://diksha.gov.in/play/content/do_3130893608766914561442?contentType=PracticeQuestionSet

➤ SELF ASSESSMENT:

1. Which account is meant for business concerns?
2. Mention any two features of business service.
3. Insurable interest is a fundamental principle of insurance. When should it be present in case of (i) life insurance (ii) fire insurance (iii) marine insurance?
4. What is e-banking? What are the advantages of e-banking?
5. Aman Rastogi got his factory insured for ₹ 1 crore and later suffered a loss of ₹ 20 lac. He got full compensation of ₹ 20 lac from the insurance company and later sold some half-burnt goods for ₹ 50,000. Who has the right over the sale proceeds and why? Explain.
6. Radheshyam gets his factory insured for ₹ 50 lac against fire with Alpha Insurance Co. & for ₹ 25 lac with Beta Insurance Co. A fire broke out and Radheshyam suffered a loss of ₹ 15 lac. How much compensation can Radheshyam claim from insurers? Explain the principle involved. Show your workings clearly.

-----**END OF CHAPTER**-----